2025

Economic Impact of Visitors to Orange County

TOURISM ECONOMICS
AN OXFORD ECONOMICS COMPANY



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CONTENTS

Introduction

Key Findings

Results in Context

Visitor Volume and Spending

Economic Impact Methodology

Economic Impact

Appendix



Introduction

Visitors are integral to the Orange County economy, generating significant financial benefits for residents and local businesses. Visitor activity also produces substantial tax revenue which supports government services.

Credible measurements of the visitor economy are designed to inform policy decisions that foster the sector's development.

To quantify the significance of the Orange County visitor economy, Tourism Economics developed a comprehensive analysis of visitor spending and its total economic impact on businesses, employment, personal income, and taxes. At a high level, our approach includes the following stages:

- Compilation of visitor statistics
- Compilation of industry data
- Compilation of government data
- Analysis of visitor spending by category
- Economic impact modeling

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KEY FINDINGS

Key Findings

Visitors Generate Significant Economic Impact

In 2025, **51.3 million visitors spent $18.0 billion** in the Orange County economy, generating a total economic impact of $30.7 billion.

51.3M VISITORS TO ORANGE COUNTY

$18.0B VISITOR SPENDING

$30.7B TOTAL ECONOMIC IMPACT

$7.8B TOTAL PERSONAL INCOME

178,164 TOTAL JOBS SUPPORTED

$3.1B STATE AND LOCAL TAXES



Results in Context

The visitor economy is an economic pillar in Orange County. In 2025, visitor spending supported one-in-14 jobs in the county. In addition:

$18.0B VISITOR SPENDING

Visitors spent $49.3 million per day in Orange County, on average.

$7.8B PERSONAL INCOME

This is equivalent to $7,180 per resident household, across all households in the county.

178,164 JOBS

The visitor economy sustained 7.4% of all jobs in Orange County in 2025.

$3.1B STATE & LOCAL TAXES

State and local taxes generated by the visitor economy offset resident taxes by $2,857 per household.



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VISITOR VOLUME & SPENDING

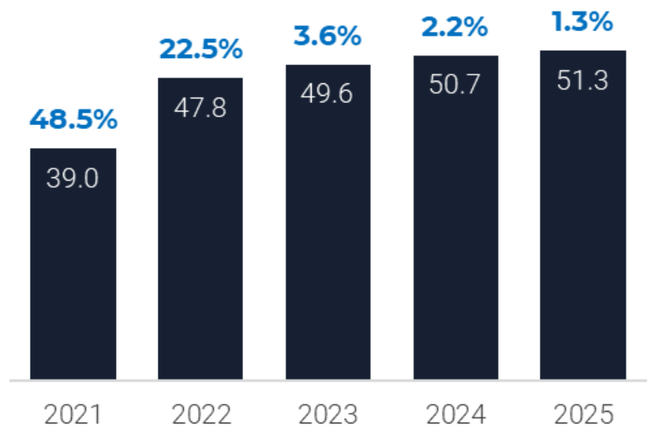


Orange County welcomed **51.3 million** visitors who spent **$18.0 billion** in 2025.

Visitor Volume

Visitor volume to Orange County grew steadily in 2025 (+1.3%), reaching 51.3 million visitors. Day visitors led gains, growing 1.6% year-over-year.

Orange County Visitor Volume
millions



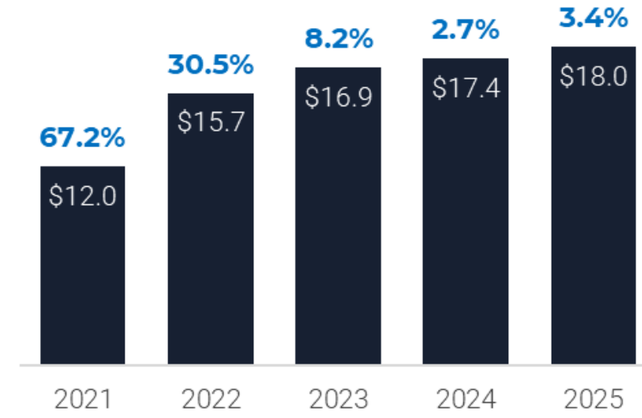
Source: Tourism Economics

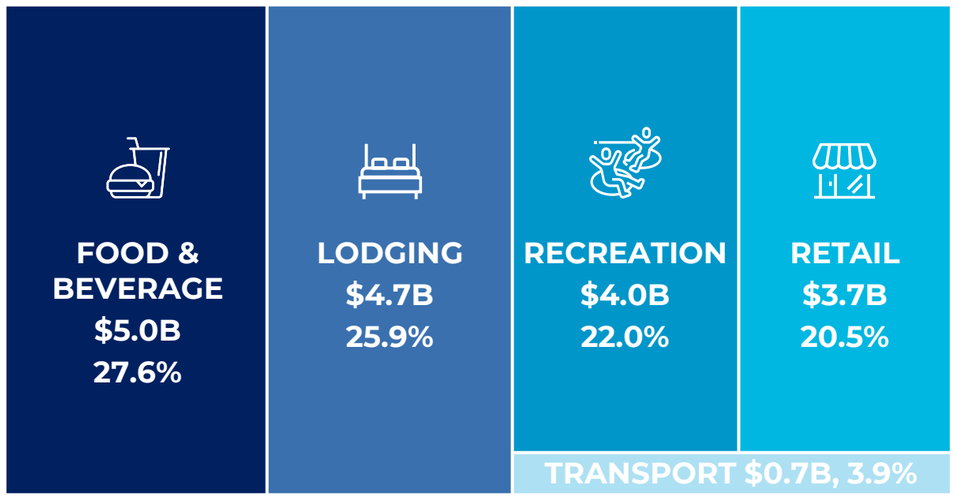
Visitor Spending

Visitor spending reached $18.0 billion in 2025, a 3.4% increase over the prior year.

Food and beverage purchases made up the largest share of that total, at $5.0 billion, or 27.6% of all visitor spending. Lodging accounted for 25.9% of spending, representing the second-largest category.

Orange County Visitor Spending
$ billions





Source: Tourism Economics

Note: Lodging includes all accommodation types, and transportation includes both ground and air transportation.

Visitor Volume and Spending Trends

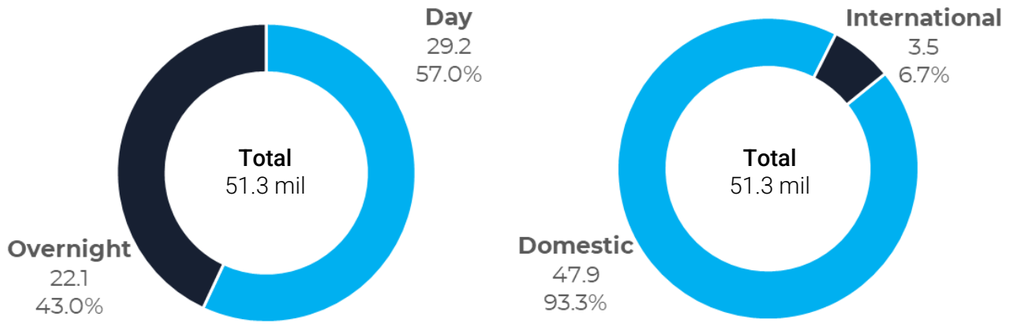
Visitor spending in Orange County increased 3.4% in 2025, supported by steady gains in both visitation and price levels.

Food and beverage spending again posted the strongest growth, rising 5.6% year-over-year amid persistently-elevated prices, followed by recreation at 4.3% growth. Lower gas prices limited gains in transportation spending, which edged up just 0.1% from 2024.

According to STR hotel data, room demand increased 0.8%, occupancy edged up from 71.7% to 72.2%, and average daily rate grew 1.0%.

Overnight visitation grew 0.8%, while day trips expanded at a stronger 1.6% year-over-year. Although day trips made up the majority of visits (57.0%), overnight visitors accounted for 90.6% of total spending.

Orange County Visitor Volume, by segment
share of visitors



Source: Tourism Economics

Orange County Visitor Spending
$ millions

	2021	2022	2023	2024	2025	2025 Growth
Total visitor spending	**$11,992**	**$15,655**	**$16,936**	**$17,398**	**$17,993**	**3.4%**
Food & beverage	$3,225	$4,201	$4,427	$4,711	$4,974	5.6%
Lodging	$2,937	$3,909	$4,570	$4,576	$4,661	1.9%
Recreation	$2,666	$3,450	$3,757	$3,796	$3,960	4.3%
Retail	$2,649	$3,407	$3,474	$3,609	$3,691	2.3%
Transportation	$515	$690	$708	$706	$707	0.1%

Source: Tourism Economics

Note: Lodging includes all accommodation types, and transportation includes both ground and air transportation.

Orange County Visitor Volume and Spending, by segment
millions of visitors, $ billions, $ per visitor

	2021	2022	2023	2024	2025	2025 Growth
Total visitors	**39.0**	**47.8**	**49.6**	**50.7**	**51.3**	**1.3%**
Day	22.7	26.8	28.0	28.8	29.2	1.6%
Overnight	16.3	21.1	21.6	21.9	22.1	0.8%
Visitor spending	**$12.0**	**$15.7**	**$16.9**	**$17.4**	**$18.0**	**3.4%**
Day	$1.2	$1.5	$1.5	$1.6	$1.7	4.7%
Overnight	$10.8	$14.2	$15.4	$15.8	$16.3	3.3%
Per visitor spending	**$307**	**$327**	**$342**	**$343**	**$350**	**2.1%**
Day	$54	$55	$55	$56	$58	3.1%
Overnight	$660	$674	$712	$720	$737	2.4%

Source: Tourism Economics

Note: Lodging includes all accommodation types, and transportation includes both ground and air transportation.

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ECONOMIC IMPACT METHODOLOGY

Economic Impact Methodology

The development of visitor economy impact modeling begins with a comprehensive demand side analysis. Visitor survey data provides estimates on the volume of visitors by type and their spending in specific industries (e.g. lodging, restaurants, retail, recreation and entertainment, transportation). These estimates are strengthened through an analysis of industry-specific data sets on the lodging industry, aviation, and sectoral-level business sales. Government data, including taxes by type, as well as employment and personal income by industry, are used to supplement and confirm demand-side visitor spending calculations.

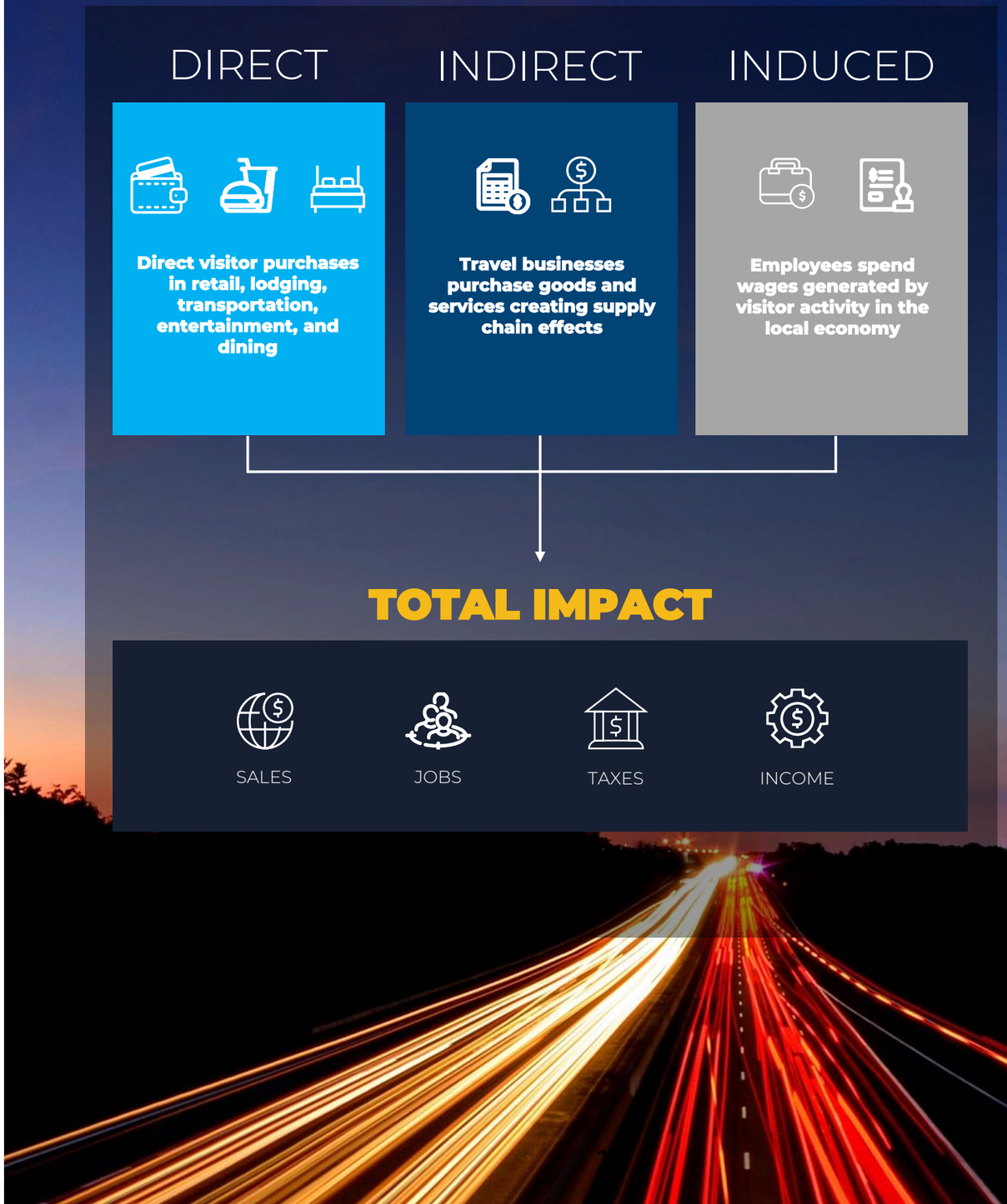
This provides a detailed profile of visitor spending by industry, which is then connected to a local input-output (I-O) economic impact model constructed within the IMPLAN platform. This uses government (Bureau of Economic Analysis and Census) data to trace the flow of visitors through the local economy and its effects on businesses, households, and government. The model quantifies three levels of impact:

1. **Direct impacts:** Visitor spending creates direct economic value within a defined set of sectors. This supports a proportion of spending, jobs, wages, and taxes within each sector.
2. **Indirect impacts:** Businesses providing direct services to visitors purchase goods and services, generating additional impacts called indirect impacts or supply-chain effects.
3. **Induced impacts:** Additional business activity is generated as employees spend incomes locally that are earned due to visitor activity. This is called the induced impact or income effect.

The model calculates these three levels of impact—direct, indirect, and induced—for the following metrics:

- Spending
- Wages
- Employment
- Federal Taxes
- State Taxes
- Local Taxes

Economic Impact Model



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ECONOMIC IMPACT

Business Sales Impacts

Visitors spent $18.0 billion in Orange County in 2025. These direct impacts generated an additional $12.7 billion through supply chain (indirect) and income (induced) effects.

As a result, the total economic impact of visitors reached $30.7 billion in 2025.

$18.0B Visitor Spending *(Direct Sales)* + **$6.3B** Indirect Sales + **$6.4B** Induced Sales = **$30.7B** Total Economic Impact

Business Sales by Industry (2025)

$ millions

	Direct Business Sales	Indirect Business Sales	Induced Business Sales	Total Business Sales
Total, all industries	**$17,993**	**$6,253**	**$6,426**	**$30,673**
Food & Beverage	$4,716	$276	$443	$5,436
Finance, Insurance, and Real Estate	$433	$1,837	$2,361	$4,631
Retail Trade	$3,949	$86	$578	$4,613
Lodging	$4,336	$1	$3	$4,340
Recreation and Entertainment	$3,872	$225	$85	$4,182
Business Services		$2,120	$621	$2,741
Education and Health Care		$31	$961	$993
Communications		$566	$336	$902
Personal Services	$88	$221	$384	$692
Wholesale Trade		$325	$311	$636
Other Transport	$177	$222	$97	$496
Gasoline Stations	$314	$3	$32	$349
Construction and Utilities		$160	$101	$261
Manufacturing		$106	$45	$151
Air Transport	$109	$6	$14	$128
Government		$66	$54	$120
Agriculture, Fishing, Mining		$2	$2	$4

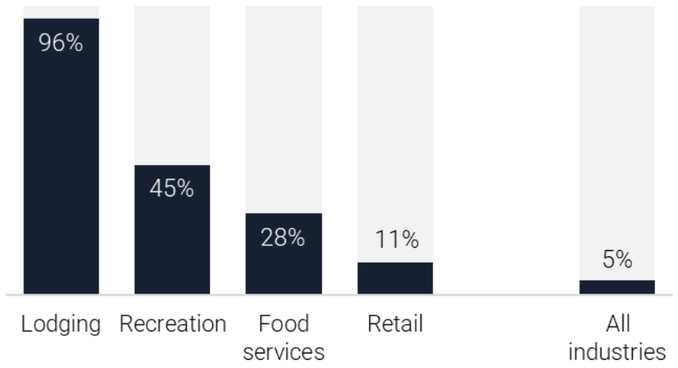
Source: Tourism Economics



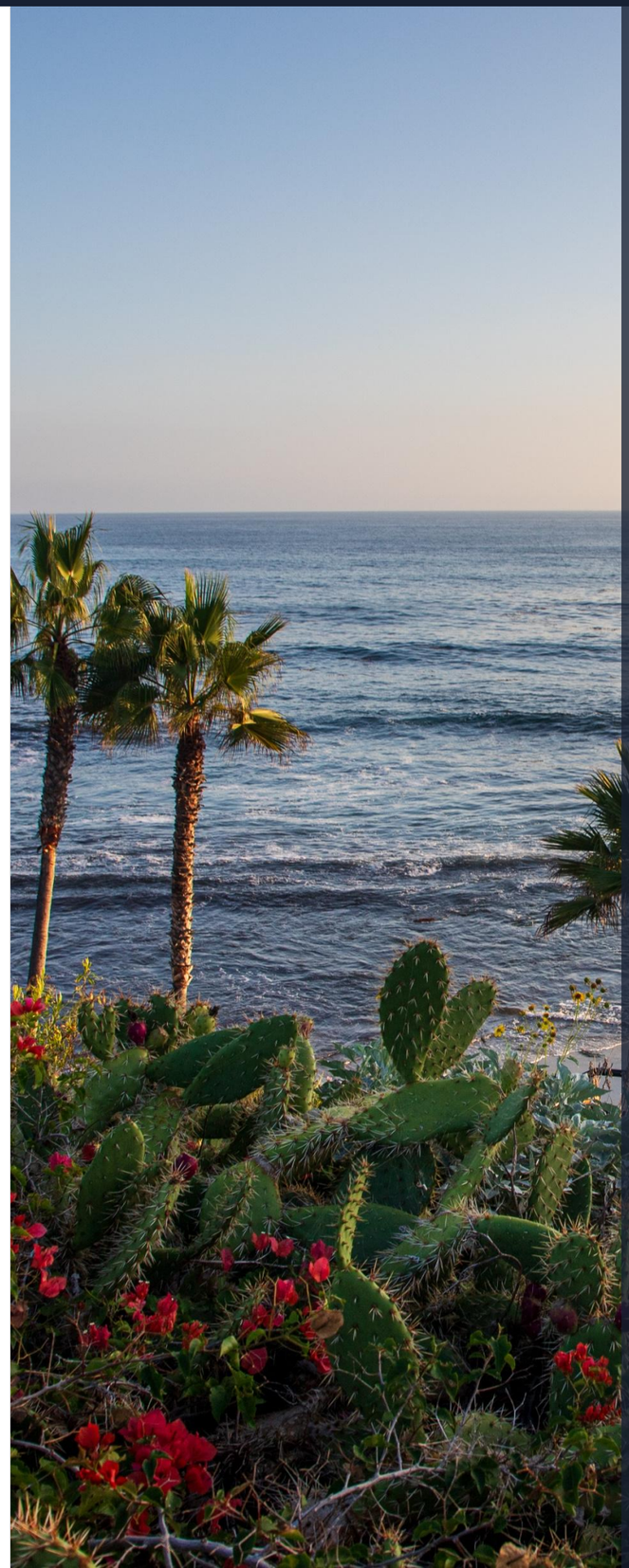
Direct Employment

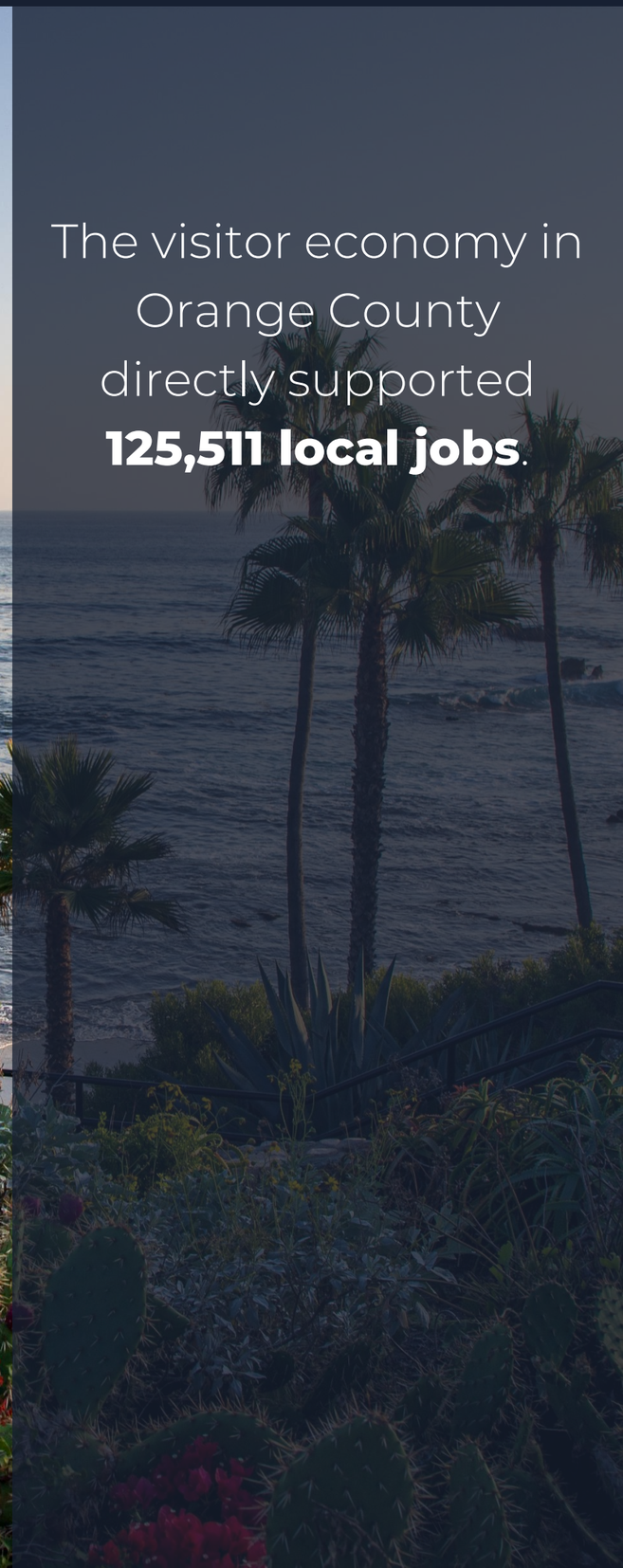
Direct visitor-supported employment amounted to more than 125,500 jobs in 2025 across several key industries in Orange County. Visitors sustained nearly all employment in the lodging sector, 45% of recreation employment, 28% of food services employment, and 11% of retail jobs. Overall, direct visitor-supported employment accounted for approximately 5.2% of all jobs in Orange County in 2025.

Tourism Employment Intensity
share of total industry employment



Source: Tourism Economics





The visitor economy in Orange County directly supported **125,511 local jobs**.

Employment Impacts

Visitor activity sustained 125,511 direct jobs in 2025, with an additional 52,653 jobs supported from the indirect and induced impacts of visitor activity. Total employment impacts tallied 178,164 in 2025, translating to one-in-14 jobs in the county.

125.5K Direct Jobs + **26.6K** Indirect Jobs + **26.0K** Induced Jobs = **178.2K** Total Jobs

Employment by Industry (2025)

jobs

	Direct Jobs	Indirect Jobs	Induced Jobs	Total Jobs
Total, all industries	**125,511**	**26,609**	**26,044**	**178,164**
Food & Beverage	45,465	2,615	3,812	51,892
Recreation and Entertainment	39,491	4,124	817	44,432
Lodging	23,952	6	18	23,976
Retail Trade	10,611	517	3,702	14,830
Business Services		9,481	2,904	12,385
Finance, Insurance, and Real Estate	1,149	4,388	3,028	8,565
Education and Health Care		261	6,122	6,383
Personal Services	1,586	1,458	3,221	6,265
Other Transport	2,857	1,822	914	5,593
Wholesale Trade		664	552	1,216
Communications		583	425	1,008
Construction and Utilities		308	198	506
Gasoline Stations	250	9	102	361
Manufacturing		230	80	310
Government		127	110	237
Air Transport	150	11	26	187
Agriculture, Fishing, Mining		5	13	18

Source: Tourism Economics



The visitor economy supported **one-in-14 jobs** in Orange County, including nearly 52,000 jobs in the food and beverage industry.



Personal Income Impacts

Visitor activity generated $5.1 billion in direct personal income in 2025. Including indirect and induced impacts, workers received $7.8 billion in personal income.

$5.1B Direct Personal Income + **$1.4B** Indirect Personal Income + **$1.2B** Induced Personal Income = **$7.8B** Total Personal Income

Personal Income by Industry (2025)

$ millions

	Direct Personal Income	Indirect Personal Income	Induced Personal Income	Total Personal Income
Total, all industries	**$5,133**	**$1,402**	**$1,242**	**$7,776**
Recreation and Entertainment	$2,071	$153	$26	$2,251
Food & Beverage	$1,248	$86	$103	$1,437
Lodging	$1,209	$0	$1	$1,210
Business Services		$655	$189	$844
Retail Trade	$476	$21	$130	$627
Finance, Insurance, and Real Estate	$35	$171	$187	$393
Education and Health Care		$10	$337	$347
Personal Services	$21	$78	$106	$206
Wholesale Trade		$65	$55	$120
Other Transport	$49	$43	$20	$112
Communications		$57	$43	$100
Government		$20	$17	$38
Construction and Utilities		$23	$14	$37
Manufacturing		$17	$6	$23
Gasoline Stations	$11	$0	$5	$16
Air Transport	$13	$1	$2	$15
Agriculture, Fishing, Mining		$0	$0	$0

Source: Tourism Economics



Tax Impacts

Visitor activity generated $5.7 billion in government revenues in 2025.

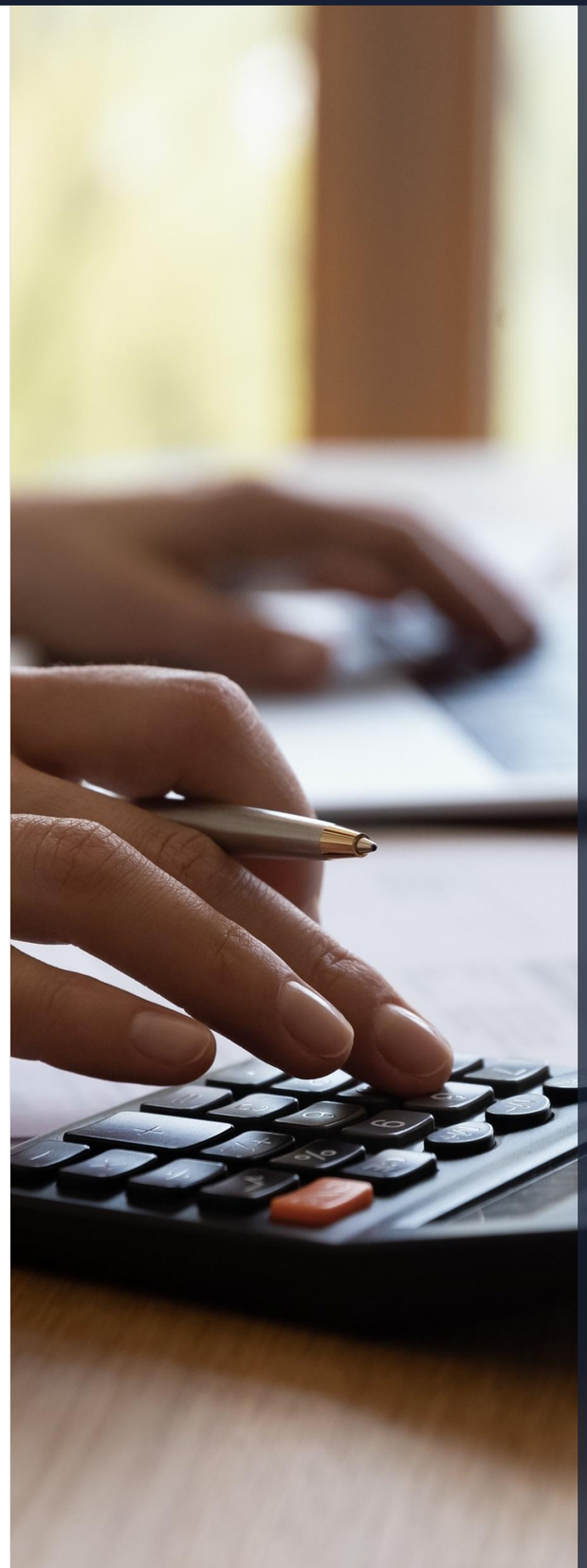
State and local taxes alone tallied $3.1 billion in 2025.

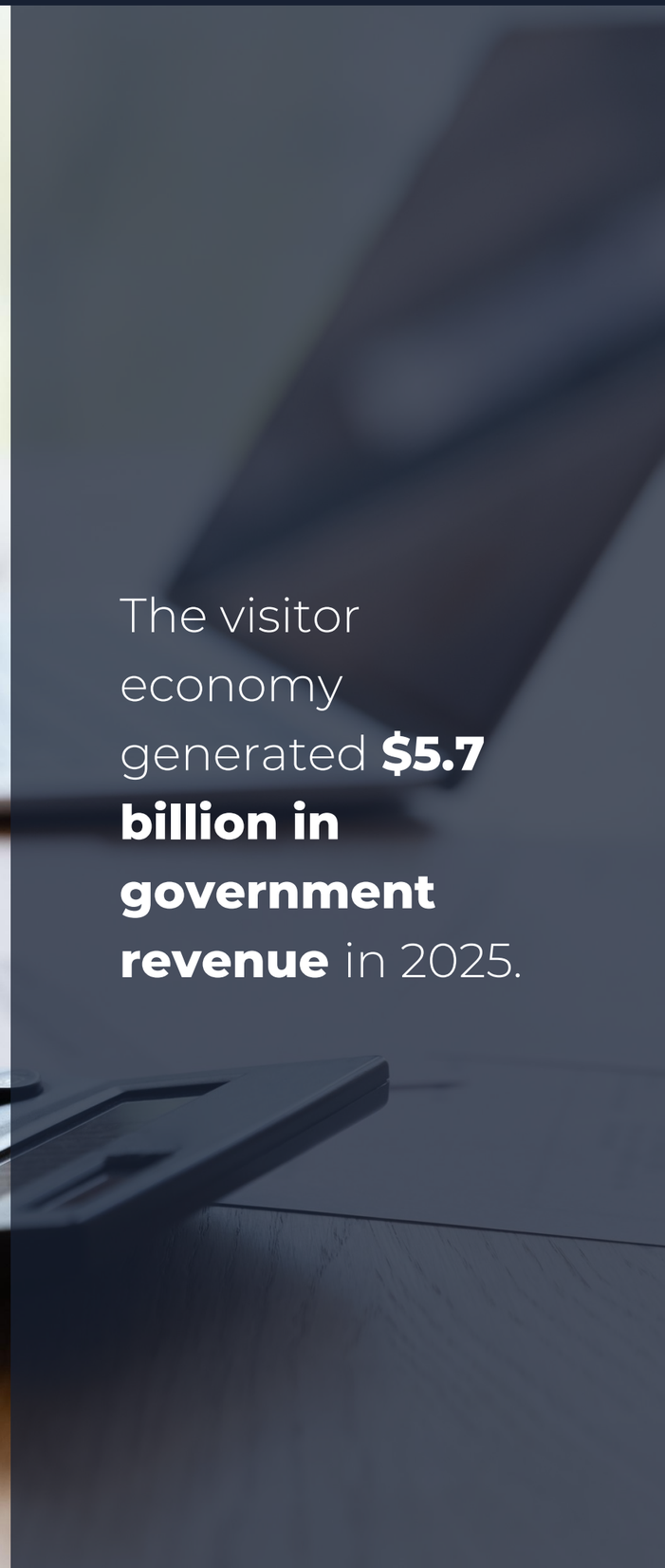
Each household in Orange County would need to be taxed an additional $2,857 to replace the visitor-generated taxes received by state and local government in 2025.

Tax Impacts (2025)
$ millions

	2023	2024	2025	2025 Growth
Total Tax Revenues	**$5,430**	**$5,579**	**$5,720**	**2.5%**
Federal Taxes	**$2,479**	**$2,557**	**$2,626**	**2.7%**
Personal Income	$893	$922	$947	2.8%
Corporate	$108	$110	$114	3.1%
Indirect Business	$155	$159	$167	5.5%
Social Insurance	$1,323	$1,366	$1,397	2.3%
State and Local Taxes	**$2,951**	**$3,022**	**$3,094**	**2.4%**
Sales	$998	$1,030	$1,059	2.9%
Lodging	$552	$552	$557	1.0%
Personal Income	$349	$360	$369	2.7%
Corporate	$48	$50	$51	2.9%
Social Insurance	$57	$59	$60	2.4%
Excise and Fees	$208	$213	$220	3.1%
Property	$740	$760	$778	2.4%

Source: Tourism Economics





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APPENDIX

Appendix

Methodology Overview

Measuring the visitor economy begins with a comprehensive demand side analysis. A visitor is defined as someone who stayed overnight or traveled more than 50 miles to the destination.

The study area is defined as Orange County, California.

Visitor survey data provide estimates on the volume of visitors by type and their spending in specific categories (e.g. lodging, restaurants, retail, recreation and entertainment, transportation). These estimates are strengthened through an analysis of industry-specific data sets on the lodging industry, aviation, and sectoral-level business sales. Government data, including taxes by type as well as employment and personal income by industry are used to supplement and confirm demand-side visitor spending calculations.

The primary source of the employment and wage data is the Regional Economic Information System (REIS), maintained by the Bureau of Economic Analysis (BEA). This is more comprehensive than Bureau of Labor Statistics (BLS QCEW) data because sole-proprietors do not require unemployment insurance and are not counted in the QCEW data.

The complete set of data inputs is provided below.

Data Sources

- **Bureau of Economic Analysis and Bureau of Labor Statistics:** Employment and wage data, by industry
- **STR:** Lodging metrics, including room demand and supply, room rates, occupancy, and room revenue
- **Visit Anaheim:** TID and TOT revenue data
- **California Department of Tax and Fee Administration (CADTFA):** County level sales tax data by industry category
- **U.S. Census Bureau:** Economic Census data, as well as data on population, households, and second homes
- **U.S. Energy Information Administration:** Regional gasoline prices
- **Tourism Economics:** International arrivals and spending data for the Los Angeles, Riverside, and Orange County metro areas
- **Visitor surveys:** Historical visitor profile research on volume, spending, and visitor preferences and attributes

Glossary

SPENDING DEFINITIONS

LODGING	*All accommodation businesses, including hotels, B&Bs, campgrounds, and short-term rentals. This includes food, entertainment, and other services provided by these establishments.*
FOOD & BEVERAGE	*Includes all visitor spending on food & beverages, including at restaurants, bars, grocery stores and other food providers.*
RECREATION	*Includes visitors spending within the arts, entertainment and recreation sector.*
RETAIL	*Includes visitor spending in all retail sub-sectors within the local economy, excluding grocery stores.*
LOCAL TRANSPORT	*Ride share, taxis, limos, trains, rental cars, buses, and gasoline purchases.*
AIR TRANSPORT	*Where applicable, the local share of air transportation spending.*
SECOND HOMES	*Where applicable, spending associated with seasonal second homes for recreational use as defined by the Census Bureau.*

ECONOMIC IMPACT DEFINITIONS

DIRECT IMPACT	*Impacts (business sales, jobs, income, and taxes) related to businesses where visitors spend dollars (e.g. recreation, transportation, lodging).*
INDIRECT IMPACT	*Impacts created from the purchase of goods and services as inputs (e.g. food wholesalers, utilities, business services) into production by the directly affected sectors (i.e. business-to-business purchases).*
INDUCED IMPACT	*Impacts created from spending in the local economy by employees whose wages are generated either directly or indirectly by visitor activity.*
EMPLOYMENT	*Employment is measured by the Bureau of Economic Analysis (BEA) definition, and captures full-time and part-time jobs, which includes salary and wage employees and proprietors.*
PERSONAL INCOME	*Income (wages, salaries, proprietor income and benefits) supported by visitor spending.*
LOCAL TAXES	*City and County taxes generated by visitor spending. Includes any local sales, income, bed, usage fees, licenses and other revenue streams to local governmental authorities.*
STATE TAXES	*State tax revenues generated by visitor spending. Includes sales, income, corporate, usage fees and other assessments of state governments.*

About the Research Team

This study was conducted by the Tourism Economics group within Oxford Economics. Tourism Economics combines an understanding of traveler dynamics with rigorous economics to answer the most important questions facing destinations, investors, and strategic planners. By combining quantitative methods with industry knowledge, Tourism Economics designs custom market strategies, destination recovery plans, forecasting models, policy analysis, and economic impact studies.

Oxford Economics was founded in 1981 as a commercial venture with Oxford University's business college to provide economic forecasting and modeling to UK companies and financial institutions expanding abroad. Since then, we have become one of the world's foremost independent global advisory firms, providing reports, forecasts and analytical tools on 200 countries, 100 industrial sectors and over 3,000 cities. Our best-of-class global economic and industry models and analytical tools give us an unparalleled ability to forecast external market trends and assess their economic, social and business impact.

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